Dolph Research

EQUITY RESEARCH NOTE March 10, 2026

MICROSOFT CORPORATION

Revenue	Net Income
$282B	$102B
14.9%	15.5%

Operating Margin	Free Cash Flow
45.6%	$71.6B
2.2%	-3.3%

Executive Summary

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30

MSFT closes 2025-06-30 with $282B of revenue (14.9% YoY) and $102B of net income (15.5% YoY). The period ended with an operating margin of 45.6% and a net margin of 36.1%, which frames how much of the reported scale translated into retained profitability. Revenue and earnings improved together, indicating that the growth story carried through to reported profitability.
Operating cash flow reached $136B (14.9% YoY), and after $64.6B of capital spending the business produced $71.6B of free cash flow (-3.3% YoY). Cash generation exceeded reported earnings, a sign that the period converted accounting profit into liquidity with relatively little friction. Capital spending absorbed 22.9% of revenue, which helps frame how much internal cash flow remained available after reinvestment.

Current liquidity of 1.35x and debt-to-equity of 0.13x point to a balance sheet that is neither clearly stressed nor clearly overcapitalized. The quick ratio of 1.35x sits close to the current ratio, so near-term coverage does not rely heavily on inventory liquidation.

Snapshot Scorecard

Metric	Current	Prior	Change
Revenue	$282B	$245B	14.9%
Net Income	$102B	$88.1B	15.5%
Operating Margin	45.6%	44.6%	2.2%
Debt-to-Equity	0.13x	0.18x	-23.6%
Current Ratio	1.35x	1.27x	6.2%
Free Cash Flow	$71.6B	$74.1B	-3.3%

Revenue
$282B

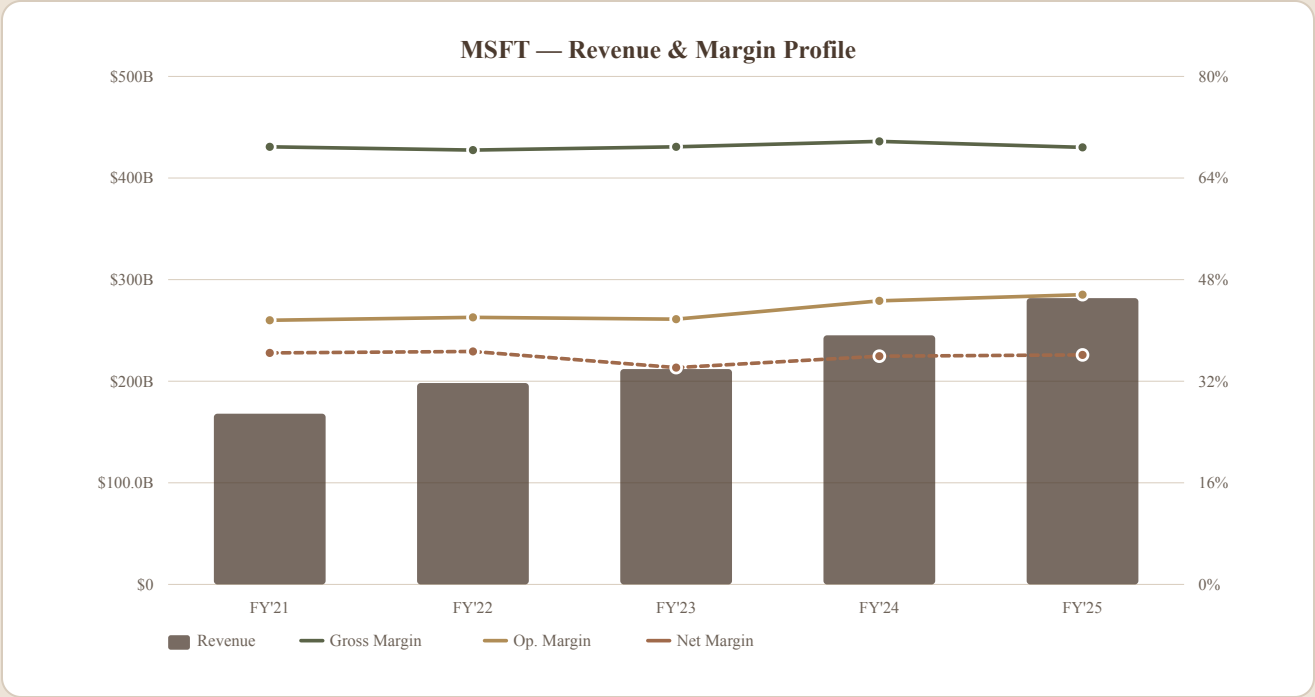
Net Income
$102B

Operating Margin
45.6%

Free Cash Flow
$71.6B

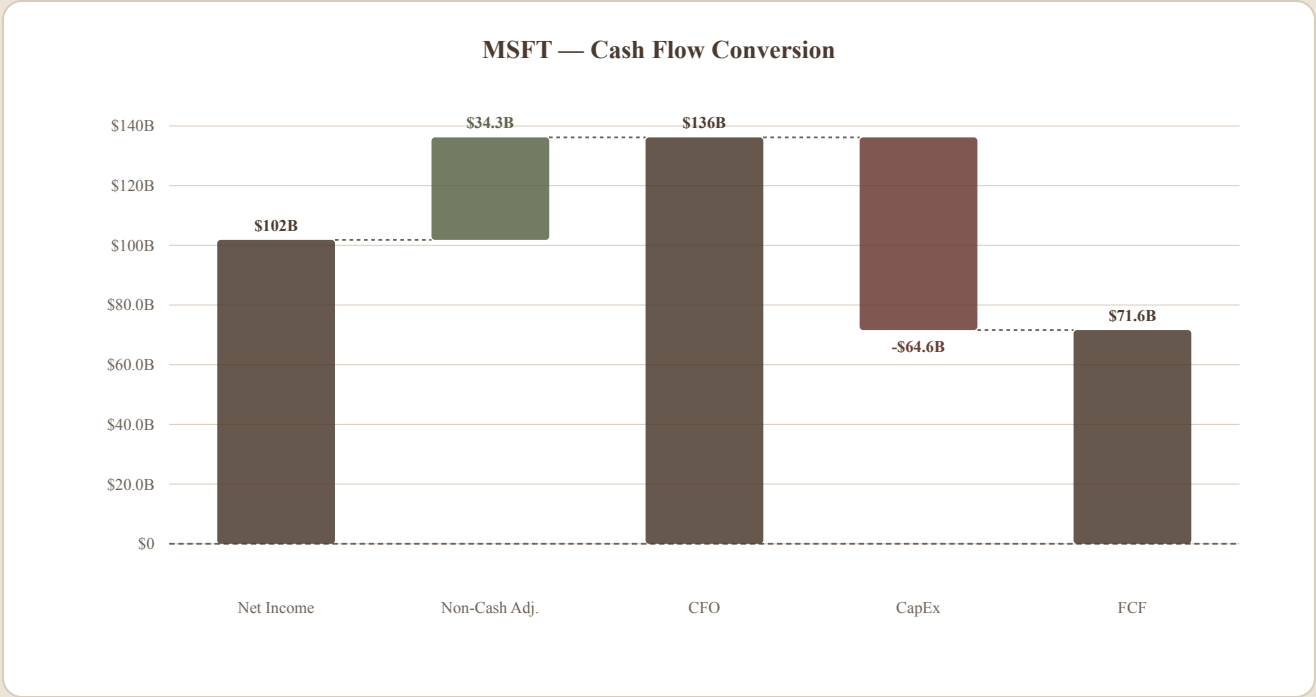
Visual Highlights

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30



Revenue Growth & Margin Profile

Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

Bridge from earnings to free cash flow to assess conversion quality.

Key Metrics Dashboard

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30

Profitability

Metric	Current Value	Prior Period	Change (%)
Gross Profit	$194B	$171B	13.4%
Return on Equity	33.3%	37.1%	-10.4%
Return on Assets	18.0%	19.1%	-5.6%
Gross Margin	68.8%	69.8%	-1.3%
Operating Margin	45.6%	44.6%	2.2%
Net Margin	36.1%	36.0%	0.5%
Earnings Per Share (Diluted)	$13.64	$11.80	15.6%

Liquidity & Leverage (1/2)

Metric	Current Value	Prior Period	Change (%)
Current Assets	$191B	$160B	19.7%
Current Liabilities	$141B	$125B	12.7%
Cash & Equivalents	$30.2B	$18.3B	65.1%
Cash, Cash Equivalents & Restricted Cash	Not reported	Not reported	Not reported
Restricted Cash	Not reported	Not reported	Not reported
Cash, Cash Equivalents & Short-Term Investments	$94.6B	$75.5B	25.2%
Short-Term Investments	$64.3B	$57.2B	12.4%

Liquidity & Leverage (2/2)

Metric	Current Value	Prior Period	Change (%)
Marketable Securities	Not reported	Not reported	Not reported
Long-Term Debt	$43.2B	$44.9B	-4.0%
Short-Term Debt	$3.00B	$2.25B	33.3%
Total Debt	$46.1B	$47.2B	-2.2%
Current Ratio	1.35x	1.27x	6.2%
Debt-to-Equity	0.13x	0.18x	-23.6%

Key Metrics Dashboard (Cont.)

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30

Scale

Metric	Current Value	Prior Period	Change (%)
Revenue	$282B	$245B	14.9%
Gross Profit	$194B	$171B	13.4%
Operating Income	$129B	$109B	17.4%
Net Income	$102B	$88.1B	15.5%
Total Assets	$619B	$512B	20.9%
Total Liabilities	$276B	$244B	13.1%
Stockholders' Equity	$343B	$268B	27.9%

Cash Flow & Per Share

Metric	Current Value	Prior Period	Change (%)
Operating Cash Flow	$136B	$119B	14.9%
Cash at End of Period (cash-flow statement)	$30.2B	$18.3B	65.1%
Capital Expenditures	-$64.6B	-$44.5B	45.1%
Free Cash Flow	$71.6B	$74.1B	-3.3%

Commentary

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30

What stands out

Operating Cash Flow is the clearest multi-period driver in the locked annual history, with the latest value at $136B and a 13.1% compound annual growth rate. The multi-year progression is steady enough to suggest an improving operating profile.

The multi-year trend is positive, but the pace is moderate rather than transformative. Cash generation remained constructive, with $136B of operating cash flow translating into $71.6B of free cash flow. Balance-sheet pressure should be read through both leverage (0.13x debt-to-equity) and liquidity (1.35x current ratio), because the two are not pointing to the same conclusion in every issuer.

Watch items

No acute quantitative stress signal dominates the locked annual basis. The main watch points remain profitability at 45.6% and free cash flow at $71.6B, because those lines usually determine whether the balance sheet is strengthening or simply holding steady.

Analyst interpretation

The most constructive part of MSFT's profile is that gross margin of 68.8% supports healthy unit economics and room for operating-expense absorption. ROE of 33.3% is well above the 15% institutional threshold, suggesting strong capital allocation. That matters because leverage (0.13x debt-to-equity), liquidity (1.35x current ratio), and free cash flow ($71.6B) need to be read together rather than in isolation.

Analysis is anchored to the annual period ending 2025-06-30, with the prior period set at 2024-06-30. Metrics without the required statement support remain intentionally blank rather than estimated, so the report should be read as a filing-backed analytical note rather than as a gap-filled model.

Appendix

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30

Appendix A — MSFT Income Statement

Metric	FY2025 (Jun)	FY2024 (Jun)
Revenue	$282B	$245B
Cost of Revenue	$87.8B	$74.1B
Gross Profit	$194B	$171B
Operating Expenses	$65.4B	$61.6B
Operating Income	$129B	$109B
Net Income	$102B	$88.1B
EPS (Basic)	$13.70	$11.86
EPS (Diluted)	$13.64	$11.80
Weighted Avg Shares (Diluted)	7.5B	7.5B
R&D Expenses	$32.5B	$29.5B
Pretax Income	$124B	$108B
Income Tax Expense	$21.8B	$19.7B

Appendix B — MSFT Balance Sheet (Part 1/2)

Metric	FY2025 (Jun)	FY2024 (Jun)
Shares Outstanding	7.4B	7.4B
Total Assets	$619B	$512B
Total Liabilities	$276B	$244B
Total Stockholders' Equity	$343B	$268B
Current Assets	$191B	$160B
Current Liabilities	$141B	$125B
Cash & Equivalents	$30.2B	$18.3B
Cash, Cash Equivalents & Short-Term Investments	$94.6B	$75.5B
Total Debt (derived)	$46.1B	$47.2B
Long-Term Debt	$43.2B	$44.9B

Appendix (Cont.)

MSFT — Current period: 2025-06-30 | Prior period: 2024-06-30

Appendix B — MSFT Balance Sheet (Part 2/2)

Metric	FY2025 (Jun)	FY2024 (Jun)
Short-Term Debt	$3.00B	$2.25B
Inventory	$938M	$1.25B
Accounts Receivable	$69.9B	$56.9B
Short-Term Investments	$64.3B	$57.2B
Other Current Assets	$25.7B	$26.0B
Accounts Payable	$27.7B	$22.0B
Other Current Liabilities	$25.0B	$19.2B
Retained Earnings	$238B	$173B
AOCI	-$3.35B	-$5.59B
Goodwill	$120B	$119B

Appendix C — MSFT Cash Flow Statement

Metric	FY2025 (Jun)	FY2024 (Jun)
Operating Cash Flow	$136B	$119B
Capital Expenditures	-$64.6B	-$44.5B
Investing Cash Flow	-$72.6B	-$97.0B
Financing Cash Flow	-$51.7B	-$37.8B
Dividends Paid	-$24.1B	-$21.8B
Share Repurchases	-$18.4B	-$17.3B
Depreciation	$22.0B	$15.2B
Amortization of Intangibles	$6.00B	$4.80B
Net Change in Cash	$11.9B	-$16.4B
Cash at End of Period (cash-flow statement)	$30.2B	$18.3B

Data Sources & Notes

Ticker	CIK	Accession	Form	Filed	Primary Document
MSFT	0000789019	0000950170-25-100235	10-K	2025-07-30	https://www.sec.gov/Archives/edgar/data/789019/000095017025100235/msft-20250630.htm

Method Notes

- Financial values are sourced from SEC EDGAR filings and normalized into statement-level metrics.
- Standalone metrics are locked to the selected annual current/prior basis for the issuer.
- Narrative text is descriptive only and does not alter deterministic calculations.

Report date: 2026-03-10.

Disclaimer: For research use only; not investment advice.